City Branch Entry: Adoption First Stage

Fiscal years	(1) Full	(2) Full	(3) Full	(4) Full	(5) Through 2012	(6) Through 2012	(7) Through 2012	(8) Through 2012
Post-entry average, years 0–5	1.069520*	0.923891	0.921988	0.795431	3.776199***	3.293665**	4.100400***	3.711102**
	(0.618777)	(0.642420)	(0.596872)	(0.617868)	(1.424824)	(1.493138)	(1.460082)	(1.535720)
p	0.0840	0.1504	0.1225	0.1980	0.0081	0.0274	0.0050	0.0157
Estimator	TWFE	CSDID	TWFE	CSDID	TWFE	CSDID	TWFE	CSDID
Largest client	Included	Included	Excluded	Excluded	Included	Included	Excluded	Excluded
Observations	37,364	42,146	37,131	41,614	14,199	18,153	14,114	18,003
Firms	3,349	2,481	3,326	2,458	1,769	1,737	1,759	1,727
Pretrend joint p	0.8395	0.1559	0.7060	0.1673	0.1364	0.0971	0.1342	0.1204

Notes: Each column is one fitted city-adoption model. The outcome is use of any Big4. Coefficients and standard errors are in percentage points (times 100), as in the previous display. The shock is the first Big4 branch in the registered city. Largest clients are ranked by domestic audit fees in the year before opening; all ties are excluded. Original TWFE/CS-DID settings and firm clustering are retained. Their pretrend tests have different null sets.
Standard errors are in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.